

are, and the number of floors (each with hallway carpets, walls and bin chutes) that require cleaning and maintenance. Don't get caught out after buying with a sudden increase in fees; for example, the fee might be \$3000 annually when you bought the property, but at a meeting of the owners' corporation before you purchased, a fee increase was approved. Also, some owners' corporations have an annual 'sinking fund' to cater for any emergency costs. There also might be special rules related to pets, car parking and even smoking.

One of the biggest hidden costs for an apartment, townhouse or unit buyer is prospective works that may have been agreed upon by the owners' corporation, such as painting and major renovations of communal areas. Contact the owners' corporation to find out if any future works are planned, and if so, how these costs are to be met. Don't be afraid of body corporates and owners' corporations; they are by nature democratic organisations.

Also look for any easements – rights that allow land to be used in a certain way, often for accessing infrastructure such as sewage or water pipes – and covenants – which restrict how land can be used, such as allowing only a single-storey building – as these must be disclosed. Ask the agent for this information and look for mentions of it in the property's title, which is usually included in the contract of sale. And, while the vendor's statement is a safety net for the buyer, it is just as important for the vendor, as it ensures a smooth transaction.

## **Vendors' and sellers' disclosure statements in a nutshell**

### **These will include:**

- The vendor's details and signature
- A copy of the title and property plan
- Mortgages over the property
- Building permits issued in the past seven years
- A written inspection report, listing defects, if the vendor was an owner-builder who completed building works
- Information regarding covenants, easements and any other restrictions, whether or not they appear on the title
- Planning information, particularly where zoning restricts how the land can be used